NATIONAL PENSION SCHEME

We have already been introduced to NPS in great details while learning about the Growth System. It can be ignored by anyone below the age of 40 years. For those above the age of 40, they shall take benefit of the E-class till the age of 50 and then reduce E-class and increase G-class or C-class in the mix. NPS enforces discipline by imposing strict withdrawal limitations.

PROVIDENT FUNDS

Provident funds are compulsory for many. It ensures discipline over the long term. We will go ahead and maintain a balance between money that is being managed by us and money that is given to the government institutions for our retirement. This way we will be able to maintain a balance between returns and the safety of our portfolio.

Earlier, we saw how to deal with EPF and PPF. These can substitute the long term debt component in our financial plan if there is any. By long term, we mean 7+ years. PPF should be the preferred investment asset in case we are planning for a 10+ year investment, using a fixed income asset. However, this is only suitable for those with extremely low risk-taking ability.